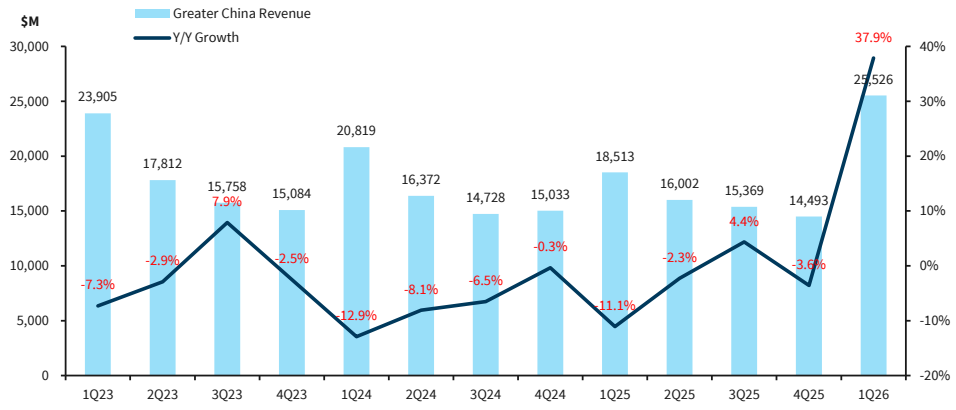
Apple, Inc.

iPhone Upside, but We Question Sustainability

Dec-Q results showed strong iPhone demand, with Greater China strength a standout. March guided up for revenues and GM, although supply constraints are limiting iPhone upside. We see increasing risk from memory market dynamics, China corrections, as well as regulatory and competitive pressures.

AAPL 1FQ26 revenue came in at $143.8Bn, beating Street ($138.4Bn) and our estimate ($137.9Bn). The upside compared to our model was mostly driven by iPhone growth. GM came in at 48.2%, better than our estimate (47.4%). All geos saw growth in the Q, with Greater China's 38% y/y growth a standout. It remains difficult for us to see the sustainability in demand in the geo, and expect China weakness could return to the business. Recall, the geo saw y/y losses in 8 of the past 9 Qs, and the December quarter looks like an anomaly to us.

FIGURE 1. Greater China Revenue Growth



FY Basis
Source: Company Documents, Barclays Research

Services had another strong Q, up 14% y/y, and management expects similar performance in FQ2. We continue to remain concerned around the broader regulatory environment for Services.

Dec-Q results showed strong iPhone demand, with strength across the US, Greater China, LatAm, Western Europe, Australia, and South Asia (India set a record for the Dec Q). The

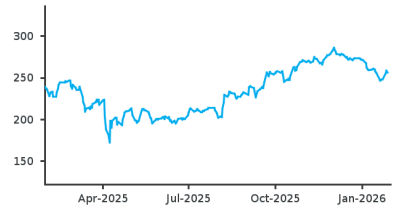
AAPL	UNDERWEIGHT Unchanged
IT Hardware and Communications Equipment	NEUTRAL Unchanged
Price Target	USD 239.00 raised 4% from USD 230.00
Price (29-Jan-26)	USD 258.28
Potential Upside/Downside	-7.5%

Source: Bloomberg, Barclays Research

Market Cap (USD mn)	3796180
Shares Outstanding (mn)	14697.93
Free Float (%)	98.27
52 Wk Avg Daily Volume (mn)	53.6
Dividend Yield (%)	0.40
Return on Equity TTM (%)	171.42
Current BVPS (USD)	4.99

Source: Bloomberg

Price Performance	Exchange-Nasdaq
52 Week range	USD 288.62-169.21



Source: IDC
Link to Barclays Live for interactive charting

IT Hardware and Communications Equipment

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iPhone 17 family drove the strength, exceeding internal expectations. Interestingly, despite the pick up in iPhone units, the replacement rate moved down to ~5.2 years (pre-Covid levels), and we view upside revisions unlikely. Recall we had been looking at a return to pre-Covid replacement rates as the upside scenario for iPhone units, and we believe we are there now.

FIGURE 2. **iPhone Replacement Rate Analysis**

Total iPhone Replacement	C2019	C2020	C2021	C2022	C2023	C2024	C2025	C2026E	C2027E
Total iPhone Subs	952.5	1,000.7	1,047.6	1,090.5	1,121.4	1,152.8	1,193.6	1,237.5	1,281.8
Net Adds	62	48	47	43	31	31	41	44	44
Total iPhones Sold	191.6	198.0	224.0	234.0	223.5	221.0	243.0	255.0	262.0
Replacement iPhone Sold	172.4	178.2	201.6	210.6	201.2	198.9	218.7	229.5	235.8
Total Replacement Rate %	19%	19%	20%	20%	18%	18%	19%	19%	19%
Overall Replacement Rate Years	5.2	5.3	5.0	5.0	5.4	5.6	5.3	5.2	5.2

CY Basis
Source: Company Documents, Barclays Research Estimates

Supply constraints called out as currently tempering iPhone fulfillment with the current constraints driven by advanced nodes. Memory had a minimal impact on the December Q GM, although the March Q GM outlook factors in more of a memory impact. We expect memory impacts to intensify moving through the CY, although management would not comment on the levers they may use (or confidence they have) to secure supply. We expect both long-term agreements and spot pricing may be utilized, although believe the memory market may be so tight that AAPL can flex its supply chain only so much. Management would not comment on how memory pricing may impact the smartphone demand curve this CY, although we expect, if memory pricing is passed through to the consumer, the drop off into 2H could be material.

Management is positive on March-Q top-line and margin performance, despite the supply constraints and memory market dynamics with revenue expectations of 13-16% y/y, GM of 48-49% (slight Q/Q lift), and Services revenue similar to the Dec-Q. Opex levels continue to remain higher and Mar-Q levels of $18.4-18.7Bn are a similar level to the Dec-Q, due to higher R&D on a y/y basis. We remain concerned around AAPL's lack of hardware investment for AI, and it remains unclear if the step up in operating expenses will drive more AI traction. Management would not comment on details around their arrangement with GOOGL.

Our Mar-Q revenue estimates move higher with most categories contributing, although we took down our wearables, in light of constraints dogging airpods. We remain concerned around overall demand, especially with questions on the durability of Greater China performance. Memory market dynamics remain top of mind across both iPhones and macs. Regulatory risk for Services also top of mind, although management acknowledged all time revenue records on advertising, and other services within the business.

Positives: iPhone demand came in greater than expectations, although we continue to believe iPhone revenue was driven by the aged installed base and not necessarily the feature set of the iPhone 17 lineup. Services continued to grow mid-teens y/y with the expectation for similar performance next Q. Greater China saw a strong rebound in the Q, but this seems like one-time in nature.

Concerns: Supply constraints tempering iPhone upside next Q, and memory market dynamics remain a question on the business (on both overall iPhone/Mac demand as well as GM). Memory pricing beginning to impact Mar-Q GM, and we expect more material impacts moving into 2HCY. We remain concerned on overall Greater China demand, especially given the competition from other local brands. Wearables also saw supply constraints in the Q.

Ratings and estimates: We lift our estimates in light of the better-than-expected performance in the Q. However, we maintain our UW rating given the concerns mentioned above. Our PT moves to $239 on a 25x multiple of CY27 EPS of $9.57. Our prior PT of $230 was based on a 25x multiple our former CY27 EPS of $9.20.

AAPL: Quarterly and Annual EPS (USD)

	2025	2026			2027			Change y/y	
FY Sep	Actual	Old	New	Cons	Old	New	Cons	2026	2027
Q1	2.40A	2.63E	2.84A	2.68E	2.94E	3.09E	2.91E	18%	9%
Q2	1.65A	1.85E	1.94E	1.86E	2.06E	2.15E	2.09E	18%	11%
Q3	1.57A	1.65E	1.76E	1.73E	1.90E	1.97E	1.97E	12%	12%
Q4	1.85A	1.92E	1.97E	1.98E	2.15E	2.20E	2.22E	6%	12%
Year	7.46A	8.05E	8.52E	8.24E	9.04E	9.41E	9.13E	14%	10%
P/E	34.6		30.3			27.4			

Consensus numbers are from Bloomberg received on 29-Jan-2026; 13:50 GMT
Source: Barclays Research

IT Hardware and Communications Equipment — NEUTRAL

Apple, Inc. (AAPL) — UNDERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	416,161	468,836	499,649	525,948	8.1%
EBITDA (adj)	144,748	170,308	185,457	197,456	10.9%
EBIT (adj)	133,050	150,974	162,968	173,745	9.3%
Pre-tax income (adj)	132,729	151,224	162,518	173,345	9.3%
Tax rate (%)	16	17	17	17	2.9%
Net income (adj)	112,010	125,108	134,890	143,876	8.7%
EPS (adj) ($)	7.46	8.52	9.41	10.30	11.3%
Diluted shares (mn)	15,004.7	14,676.6	14,319.9	13,963.2	-2.4%
DPS ($)	1.03	1.04	1.08	1.12	2.9%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	34.8	36.3	37.1	37.5	36.4
EBIT (adj) margin (%)	32.0	32.2	32.6	33.0	32.5
Pre-tax (adj) margin (%)	31.9	32.3	32.5	33.0	32.4
Net (adj) margin (%)	26.9	26.7	27.0	27.4	27.0
Operating CF margin (%)	26.8	25.6	27.9	35.0	28.8
ROIC (%)	280.9	238.2	204.5	322.8	261.6
ROA (%)	31.3	34.0	34.4	33.5	33.3
ROE (%)	152.3	157.9	151.1	133.2	148.6

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	132,420	147,159	173,906	244,123	22.6%
Total assets	359,241	367,344	393,507	430,722	6.2%
Short and long-term debt	98,657	120,509	150,509	180,509	22.3%
Other long-term liabilities	41,549	52,055	52,055	52,055	7.8%
Total liabilities	285,508	301,828	317,526	335,998	5.6%
Net debt/(funds)	-33,763	-26,650	-23,397	-63,614	N/A
Shareholders' equity	73,733	79,077	89,542	108,285	13.7%
Change in working capital	-25,000	-27,363	-17,919	16,445	N/A
Cash flow from operations	111,482	120,145	139,460	184,033	18.2%
Capital expenditure	-12,715	-13,751	-17,488	-17,882	N/A
Free cash flow	98,767	106,394	121,972	166,151	18.9%
NOPAT	112,281	124,901	135,263	144,208	8.7%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	34.6	30.3	27.4	25.1	29.4
EV/sales (x)	9.1	8.1	7.6	7.2	8.0
EV/EBITDA (adj) (x)	26.2	22.3	20.5	19.1	22.0
EV/EBIT (adj) (x)	28.5	25.2	23.3	21.7	24.7
FCF yield (%)	2.6	2.8	3.2	4.4	3.3
P/BV (x)	52.6	47.9	41.3	33.3	43.8
Dividend yield (%)	0.4	0.4	0.4	0.4	0.4

Note: FY End Sep
Source: Company data, Bloomberg, Barclays Research

Price (29-Jan-2026)	**USD 258.28**
Price Target	**USD 239.00**

Why UNDERWEIGHT?

Apple has a sticky ecosystem, growing services and wearables business, and a large capital return program. However, the outlook remains pressured as we see risks to both services and traditional hardware. We rate Apple Underweight as questions persist about the deterioration of iPhone upgrade demand with rising competition in the premium smartphone segment.

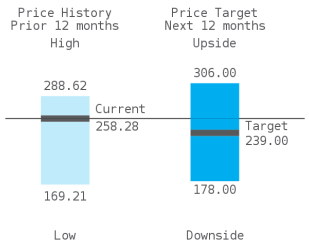
Upside case — **USD 306.00**

Potential factors that could drive the upside scenario include faster growth in new services offerings, iPhone unit growth recovering meaningfully, gross margin trends improving, accelerated capital return, or introduction of a successful new product category.

Downside case — **USD 178.00**

Potential downside scenarios include continued lack of product innovation and further deterioration for iPhone demand due to elongating replacement cycles, gross margin erosion in hardware, and disappointing customer traction in the newly launched services offerings.

Upside/Downside scenarios



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Primary Stocks (Ticker, Date, Price)
Apple, Inc. (AAPL, 29-Jan-2026, USD 258.28), Underweight/Neutral, A/CD/CE/D/J/K/L/M/N

Unless otherwise indicated, prices are sourced from Bloomberg and reflect the closing price in the relevant trading market, which may not be the last available closing price at the time of publication.

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Flex Ltd (FLEX)	Garmin (GRMN)	Harmonic, Inc. (HLIT)

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Apple, Inc. (AAPL / AAPL)

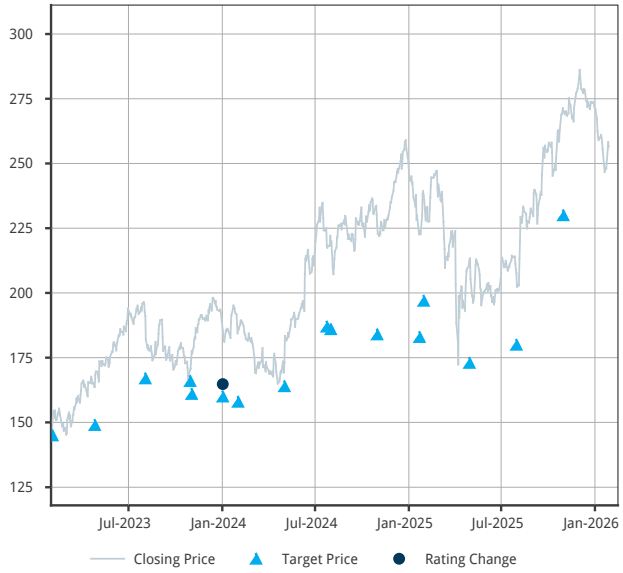
Stock Rating: **UNDERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 258.28** (29-Jan-2026)

Rating and Price Target Chart - USD (as of 29-Jan-2026)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
31-Oct-2025	271.40		230.00
31-Jul-2025	207.57		180.00
30-Apr-2025	210.14		173.00
30-Jan-2025	237.59		197.00
22-Jan-2025	229.98		183.00
31-Oct-2024	225.91		184.00
01-Aug-2024	218.36		186.00
24-Jul-2024	225.01		187.00
02-May-2024	169.30		164.00
01-Feb-2024	186.86		158.00
02-Jan-2024	193.15	Underweight	160.00
02-Nov-2023	177.57		161.00
30-Oct-2023	168.22		166.00
03-Aug-2023	191.17		167.00
26-Apr-2023	163.77		149.00
02-Feb-2023	145.93		145.00

On 29-Jan-2023, prior to any intra-day change that may have been published, the rating for this security was Equal Weight, and the adjusted price target was 133.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: We rate AAPL Underweight with a price target of $239. iPhone 17 cycle has been strong, though we remain cautious on sustainability, as well as cautious on other hardware categories and do not expect impressive Services growth going forward. Our $239 PT is based on a 25x P/E multiple on our CY27e EPS estimate of $9.57. Our 25x P/E multiple remains below AAPL's 5-year historical multiple.

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Upside risks: 1) Stronger iPhone growth. Apple market shares peaked several years ago, and the company has not had a hit phone in a few years. Better iPhone sales could propel earnings and multiples. 2) Better Installed base impact on Services and better Services pull-through from hardware. 3) More benign regulation across App Store and TAC.

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